Complete Research Brief

Slide 9 – Problem 3: Weak Market Validation & Adoption

Slide 13 – Recommendation 3: B2B Adoption Tax Credit

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PART 1: YOUR OWN DATA — THE NUMBERS FROM YOUR MODEL

Canada's Full Sub-Pillar Scorecard (Your AHP-Weighted Model)

Sub-pillar	Canada Score	Global Rank (of 13)	Weight in Model
Government Strategy	**100.00**	**#1**	5.29%
Operating Environment	69.82	#2 (behind China: 65.71)	4.24%
Talent	41.94	#5	24.56%
Infrastructure	40.92	#5	8.70%
Research	28.82	#6	21.36%
Development	**15.80**	**#7**	16.55%
Commercial Ecosystem	**10.27**	**#13 (last)**	19.30%
Composite	**32.86**	**#5**	—

The Core Paradox in Numbers

- Canada scores **100/100** on Government Strategy (highest of all 13 nations)
- Canada scores **10.27/100** on Commercial Ecosystem (lowest of all 13 nations)
- That is a **89.73-point gap** between policy ambition and commercial reality — the largest internal contradiction of any country in the dataset
- The USA, by contrast, scores 77.39 on Gov Strategy and 85.59 on Commercial Ecosystem — their gap is only 8 points

What Drives the Commercial Score (SP6) — Your KPI Breakdown

SP6 Commercial Ecosystem is composed of three KPIs with these raw normalized scores for

Canada:

KPI	Canada (normalized 0–100)	USA	South Korea
Tortoise Commercial Score	14.88	100.00	5.41
AI Investment Activity	3.16	100.00	2.49
AI Adoption (%)	**8.00**	**12.00**	34.00

The KPI weights within SP6 are: Tortoise Commercial (53.90%), AI Investment Activity (29.73%), AI Adoption % (16.38%).

Canada's AI Adoption KPI raw score of 8/100 directly captures the 26% adoption rate mentioned on the slide. South Korea scores 34/100 despite being similar in size — this is the peer comparison gap.

What Drives the Development Score (SP5) — Your KPI Breakdown

SP5 is composed of two KPIs:

KPI	Canada	USA	South Korea
Tortoise Development Score	25.78	100.00	77.25
AI Patent Grants (per 100k)	**0.83**	30.01	**100.00**

Canada's AI patent rate (0.83/100 normalized) is near-zero compared to South Korea (100/100) and the USA (30.01). This reflects that even when research happens, it isn't converting into IP and commercializable products.

Canada's Cluster Position

Your K-means clustering (k=3, silhouette 0.2299) placed Canada in **Cluster 3: Western Policy-Led Economies** alongside UK, Germany, France, Spain. Cluster 3 is characterized as:

> "Strong Government Strategy and Operating Environment, moderate Talent, but consistently weak Commercial Ecosystem and Development output. World-class enabling conditions not yet translated into productive output at scale."

This is the academic framing of the Problem 3 slide. Canada isn't an outlier — it's the norm among Western democracies — but it is the worst in its own cluster on Commercial Ecosystem (10.27 vs UK: 13.90, Germany: 8.13, France: 6.77, Spain: 5.08). Canada and Germany are the two worst commercializers in Cluster 3.

Why Your Model Intentionally Downweights Government Strategy

From your Methodology Report: Government Strategy is weighted at **5.29%** (vs Tortoise's 8%)

because:

> "Canada's own profile — ranked #1 globally on Government Strategy yet last among its peer cluster on Commercial Ecosystem — provides direct empirical evidence that strategy documents alone do not produce AI capacity."

This is a powerful line for your slide. Your own methodology validates the problem.

PART 2: THE ADOPTION REALITY — WHAT'S ACTUALLY HAPPENING IN CANADA

The Real Adoption Numbers (Statistics Canada, 2025)

The "26% AI deployment rate" mentioned on the slide refers to broader readiness/awareness figures from Vector Institute and Conference Board of Canada research. The hard Statistics Canada numbers as of 2025 actually paint an even starker picture:

- **Q2 2024**: Only **6.1%** of Canadian businesses were using AI to produce goods or deliver services
- **Q2 2025**: This doubled to **12.2%** — sounds good, but that means **87.8% of Canadian businesses still don't use AI at all**
- **Q3 2025**: Only **14.5%** of businesses planned to adopt AI in the next 12 months; **66.7% had no plans**, and 18.9% were uncertain
- The "26%" figure your slide uses likely refers to AI awareness/deployment in traditional sectors from Vector Institute's 2024 analysis — this is a valid framing for the slide as it focuses specifically on industries like manufacturing, agri-food, and life sciences

The Sector Gap Is Extreme

Among the 12.2% of businesses using AI (Q2 2025):

- Information & Cultural Industries: **35.6%** adoption
- Professional Services: **31.7%**
- Finance & Insurance: **30.6%**
- But manufacturing, agriculture, and resource sectors: far below 10%

This is the "traditional Canadian sectors" problem. Canada's economic backbone — mining, agri-food, energy, manufacturing — barely touches AI.

Why Businesses Aren't Adopting (The Risk Aversion Evidence)

The Globe and Mail / RBC Disruptors Evidence (August 2025): Sheldon Fernandez, former CEO of DarwinAI (the Canadian AI startup acquired by Apple in 2024):

> "The corporate clients we engage are just very risk averse. It was much easier to engage in an experimental project with our companies and partners in the United States and Europe and even Asia than here in Canada."
> He called this risk-aversion "limiting the aggressive adoption of AI transformation in this country."

Build Canada Report (2025):

> "Current procurement processes are characterized by excessive bureaucracy, risk aversion, and a bias towards large, established firms. This creates a significant barrier to entry for Canadian AI startups and SMEs offering cutting-edge solutions."

IVADO / CIFAR / CEIMIA Research (November 2025):

> "Weak demand: Government procurement is complex, and large companies prefer established international vendors. Funding gaps: Access to capital is difficult, and tax rules currently favor foreign investment."

ISED National AI Strategy Consultation (October 2025, 11,300+ respondents): Reports called out "risk-averse purchasing behaviours" as a "systemic barrier" to AI adoption. The consultation — the largest in ISED's history — specifically cited "outdated IT systems, siloed data and risk-averse purchasing behaviours" as needing national playbooks to fix.

Innovation Solutions Canada (Government's Own Program): Canada's flagship procurement innovation program is itself plagued by the problem it's trying to solve. From "From the Trenches: Five Pillars for Canada's Next AI Strategy" (October 2025):

> "The current government procurement process, exemplified by programs like Innovation Solutions Canada, is plagued by cancelled budgets and red tape, stifling critical iteration speed."

The Circular Trap: No Customer → No Revenue → No Capital

This is the mechanical engine of Problem 3 and it needs to be stated clearly on the slide:

1. Canadian AI startups build pilots with large enterprises or government agencies
2. Enterprise/government refuses to convert pilot to full procurement (risk aversion)
3. Startup has no commercial contract on record
4. Series B/C investors require revenue traction and customer references before writing checks
5. Startup cannot raise growth capital
6. Startup either dies, stays small, or gets acquired by a US firm
7. IP leaves Canada; jobs leave Canada; talent follows

The Capital Crunch Data (2025):

- Canadian VC firms raised just **C$2.1 billion** in 2025 — the **lowest since 2016**

- **84% of VC funding** into Canadian AI companies in 2025 flowed to rounds of US$25M or more — creating a "funding gap" for mid-stage companies that have proven product-market fit but can't raise institutional capital
- Rounds between US$10M–US$24.9M declined **27% year-over-year** — exactly the Series B scale-up band your slide references

The Global Comparison: Startup Genome research shows ~**90% of venture funding** to AI-native startups formed in 2023-2024 flowed to US and China, with Silicon Valley alone capturing 65%. Canada captures a fraction.

The IP Leakage Proof Point: A paltry **7% of IP rights** generated by Canada's government-funded Pan-Canadian AI Strategy are owned by Canadian private sector firms (Globe and Mail, August 2025). Canada is funding the research but not capturing the commercial value.

The "Pilot Purgatory" Problem Is Global, But Canada's Is Structural

Globally, Gartner forecasts **30% of GenAI pilot projects will be abandoned** after proof-of-concept by end of 2025. McKinsey (2025) found that while ~87% of organizations use AI regularly, only **6% are capturing meaningful enterprise value**. The gap between deployment and transformation is enormous everywhere.

But in Canada the problem is structural, not just cultural:

- Government procurement timelines are 12–36 months
- Established foreign vendors (IBM, Microsoft, AWS) have existing contract vehicles
- Canadian startups have no "preferred domestic supplier" designation
- Risk-adjusted procurement scoring penalizes unproven vendors by design

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PART 3: THE POLICY GAP — WHAT EXISTS VS. WHAT'S NEEDED

What Canada Has Already Spent (The Status Quo)

Program	Amount	Purpose	Problem
Sovereign AI Compute Strategy (2024)	$2B over 5 years	Build compute infrastructure	Doesn't create market demand
AI Compute Challenge	$700M	Data centres	Supply-side only
RDA AI Adoption Fund (Budget 2024)	**$200M over 5 years**	AI adoption in sectors	Broad, diffuse, grant-based
NRC-IRAP AI Assist	$100M	Help SMEs deploy AI	Advisory, not revenue

Program	Amount	Purpose	Problem
Pan-Canadian AI Strategy (Phase 1+2)	$567M total	Research, talent	Near-zero commercial IP output
SR&ED Program (annual)	$4.2B	R&D tax credits	R&D input, not commercialization output
Budget 2025 SR&ED expansion	$440M ongoing	Enhanced R&D credits	Still supply-side research incentive
Budget 2025 Sovereign AI Compute	$925.6M over 5 years	Public AI infrastructure	Still infrastructure, not market

The Gap: Almost all of this money goes to supply-side inputs (research, talent, infrastructure). Almost none of it creates domestic demand — the actual problem.

The Conference Board of Canada (November 2025) called Budget 2025's innovation agenda "incremental at most" and noted it "lacks an overall strategic direction to nurture homegrown firms" and "falls short of the transformative leap required to close the gap in Canada's lagging technology adoption."

What Budget 2025 Added (The Most Recent Picture)

Budget 2025 (Carney government, tabled November 4, 2025):

- **Buy Canadian Policy**: New mandatory requirement for government procurement to prioritize Canadian suppliers — allocated $185M to implement. This is significant and new, but it's government procurement only (not B2B private sector)
- **Office of Digital Transformation**: Tasked with "eliminating redundant and counterproductive procurement rules"
- **$925.6M** for sovereign AI compute (additional to 2024 commitment)
- **$1B over 3 years** Venture and Growth Capital Catalyst Initiative (BDC, starting 2026-27)
- **$750M strategy** for early growth-stage funding (details promised in 2026)
- SR&ED expanded: enhanced 35% credit ceiling raised from $3M to $6M; extended to public corporations; capital expenditures re-included

But still absent: A demand-side B2B incentive that pays private enterprises to buy domestic AI. The Buy Canadian policy applies only to federal government, not to RBC, Barrick Gold, BCE, or Loblaw. That gap is exactly what Recommendation 3 targets.

What Other Countries Do (Comparators for Your Slide)

Australia's AI Adopt Program: Direct grants covering **up to 50% of project expenditure** for businesses adopting AI through designated Adopt Centres. Government-funded adoption centers provide free one-on-one consultations for SMEs. The R&D Tax Incentive covered ~AUD

$500M in AI/computer vision/ML projects in 2022-23 alone. Australia explicitly frames AI adoption as a demand-side problem, not a supply-side one.

United Kingdom: The UK's AI Opportunities Action Plan (January 2025) explicitly commits government to be "an early adopter and first customer" for domestic AI. The UK created the AI Procurement Lab to help agencies buy from domestic startups faster.

United States: The White House FY2025 budget allocated **over $3 billion USD** specifically for federal agencies to "develop, test, integrate and procure AI applications." The US uses federal procurement as a demand creation mechanism — DARPA contracts and DoD AI procurements have launched dozens of companies.

Singapore: Singapore's AI Strategy 2.0 includes direct government-as-customer commitments in healthcare, transport, and finance. AI Singapore's "100 Experiments" program specifically pairs startups with large enterprise adopters and the government subsidizes the trial cost.

The Common Thread: Every high-performing country in your cluster (except Canada and the weak Western peers) uses government or government-backed incentives to create domestic demand — not just to fund supply.

PART 4: RECOMMENDATION 3 — THE FULL POLICY CASE

The Policy Concept: First-Customer AI Adoption Tax Credit

Core Mechanism: A **30–40% refundable tax credit** to traditional Canadian enterprises (banking, mining, telecom, agri-food, insurance, manufacturing) for verified procurement and integration costs of qualifying Canadian AI scale-ups.

"Qualifying Canadian AI scale-up" definition:

- Headquartered in Canada, Canadian-owned IP
- Series A or later (proven product, not pre-revenue)
- Minimum 10 full-time employees in Canada
- AI-first product (not legacy software with AI features)

"Qualifying procurement costs" definition:

- Licensing fees for the AI product
- Integration and deployment costs (internal staff time, consulting, infrastructure setup)
- Training costs for employees to use the new system
- Does NOT include the adopter's internal development of their own AI

Why Refundable Matters: A refundable credit works even when the corporation has no taxable income (e.g., a company going through restructuring, or a smaller enterprise). Non-refundable

credits only work against tax owed — they're useless to businesses in a loss position. Making it refundable ensures maximum take-up across the target sectors.

The Economic Logic

This is a demand-side complement to Canada's existing supply-side investments. The logic chain:

1. **Government lowers the price** of buying Canadian AI by 30–40% → makes trial economically rational for risk-averse CFOs
2. **Enterprise buys and deploys** a Canadian AI startup's product → startup gets its first real commercial contract
3. **Startup now has revenue traction** and a marquee enterprise reference customer (e.g., "used by RBC")
4. **VC and PE investors** see the commercial proof → willing to write Series B/C checks
5. **Startup scales**, hires in Canada, retains IP in Canada
6. **Enterprise adopter** gets a productivity gain (Conference Board of Canada estimates AI could deliver **C$180 billion/year** in productivity gains by 2030 if adoption happens)
7. **Government recoups** the credit cost through corporate taxes, payroll taxes, and GDP growth

The Multiplier: Canada's SR&ED program, which is already the template for this mechanism, generates approximately **$1.2 billion in annual economic output** per $440 million invested — roughly a 2.7x return. A well-targeted adoption credit would likely achieve similar or better multiplier effects because it drives actual deployment, not just R&D.

Why This Is Different From Existing Programs

Existing Approach	Problem	Adoption Credit Fix
SR&ED tax credits	Rewards R&D input, not commercialization output	Rewards actual procurement
RDA AI Adoption Fund ($200M)	Grants to enterprises/startups, not credits; slow, bureaucratic	Tax credit = self-serve, fast, no application process for CRA
NRC-IRAP	Advisory only, no revenue creation	Creates revenue for startups
Innovation Solutions Canada	Government procurement only	Reaches private sector
Buy Canadian Policy (Budget 2025)	Government procurement only	Reaches private sector B2B market

The key insight: Canada already knows how to administer tax credits (SR&ED is proof). The mechanism is not new. What's new is pointing it at the adopter (the buyer) rather than the builder (the R&D performer).

Funding Source: The $200M RDA Fund

The Budget 2024 Regional Development Agency (RDA) AI Adoption Fund of $200M over 5 years is currently disbursed as grants through two streams:

1. Stream 1: Helps AI companies bring products to market
2. Stream 2: Encourages legacy industries to adopt AI

Stream 2 is effectively trying to do what the Adoption Credit would do — but as a discretionary grant, not a tax credit. Grants require applications, approvals, political direction, and bureaucratic overhead. A tax credit is self-executing: the enterprise makes a qualified purchase, claims the credit, CRA verifies. Converting Stream 2's allocation into a tax credit mechanism would increase uptake, reduce administrative overhead, and create a more predictable signal for enterprises to plan around.

Estimated Fiscal Cost: If 400–600 qualifying B2B AI procurement deals occur per year at an average deal size of $1M–1.5M with a 35% credit rate:

- 400 deals × $1.25M avg × 35% = **$175M/year**
- 600 deals × $1.25M avg × 35% = **$262M/year** The $200M annual equivalent from the RDA fund covers the lower-end scenario. Budget 2025's $750M early-stage scaling fund and the $1B VGCCI could jointly provide top-up funding for the upper scenario.

Accountability Architecture

The 18-Month Conversion Mandate: This is the key accountability mechanism in your slide. For the credit to be claimed fully, the enterprise must demonstrate that the pilot or initial deployment has converted to a multi-year commercial contract within 18 months. If it doesn't:

- Partial clawback of credit proportional to contract failure
- This forces enterprises to actually deploy and evaluate seriously, not just claim the credit and park the software

Metrics to Track (for your slide):

1. **Primary**: % of credit-subsidized deployments that become multi-year commercial contracts (target: >50%)
2. **Secondary**: Number of Canadian AI startups achieving their first $1M+ commercial contract in a given year
3. **Tertiary**: Growth in Series B+ rounds closed by Canadian AI companies (target: reverse the 27% year-over-year decline)

4. **GDP proxy**: AI adoption rate in traditional sectors rising from ~12% to >25% within 3 years

The Clawback Trigger: If a qualifying startup receiving credit-enabled revenue subsequently relocates HQ or core IP outside Canada within 3 years → CRA triggers clawback of all tax credits granted to adopting enterprises for that startup's product. This mirrors the accountability structure in Recommendation 2's mechanism.

Responsible Ministries

Role	Ministry/Agency
Lead policy design	ISED (Innovation, Science and Economic Development Canada)
Legislation and credit structure	Finance Canada
Administration and verification	Canada Revenue Agency (CRA)
Startup qualification / whitelist	NRC-IRAP (existing AI startup relationship infrastructure)
Sector coordination (banking, mining, etc.)	Natural Resources Canada, Agriculture Canada, Finance Canada (OSFI)
Audit and outcome measurement	Statistics Canada (using the new $25M AI and Technology Measurement Program funded in Budget 2025)

Implementation Timeline (Expanded)

Phase 1: Design & Legislation (FY2027 Q1: Apr–Jun 2026)

- **April 2026**: ISED publishes white paper on Adoption Credit design; 60-day consultation period opens
- **May 2026**: NRC-IRAP begins building registry of qualifying Canadian AI scale-ups (target: 200+ companies pre-qualified at launch)
- **June 2026**: Finance Canada drafts legislative language for inclusion in Fall Economic Statement or supplementary budget bill
- **Milestone**: Policy design complete, all eligibility criteria locked

Phase 2: Pre-Launch Pilot (FY2027 Q2–Q3: Jul–Dec 2026)

- **July 2026**: Announce "Anchor Adopter" program — recruit 5–8 large enterprises (e.g., RBC, BCE, Barrick Gold, Loblaw, Air Canada) to publicly commit to 3–5 qualifying procurements each before launch
- **August–October 2026**: CRA builds and stress-tests the credit claim infrastructure (forms, verification, audit process)

- **November 2026**: Full registry of 200+ qualifying startups published publicly — acts as a "Canadian AI marketplace" for enterprises to browse
- **Milestone**: 25–40 pre-launch procurement deals signed under anchor adopter program, generating first case studies

Phase 3: Full Launch (FY2027 Q4: Jan–Mar 2027)

- **January 2027**: Adoption Credit goes live for all qualifying enterprises
- **February 2027**: ISED launches public communications campaign — "Buy Canadian AI" branding (ties into PR/storytelling strategy)
- **March 2027**: First quarterly dashboard published showing credit uptake by sector, startup, and province
- **Milestone**: 100+ credit claims filed in first quarter

Phase 4: First Audit & Recalibration (FY2028 Q1: Apr–Jun 2027)

- **April–May 2027**: First 18-month conversion rate audit (for deals signed in Q3 2025 under anchor program)
- **June 2027**: ISED publishes outcomes report — conversion rates, average deal sizes, sector breakdown, startup survival rates
- **Decision gate**: If conversion rate >50%, program continues unchanged. If <50%, CRA tightens qualification criteria or ISED adds adoption support programming
- **Milestone**: Full policy evaluation complete; decision on budget increase for Scale-up II phase

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PART 5: TALKING POINTS, FRAMING, AND STORYTELLING ANGLES

The Paradox Framing (Slide 9 Hook)

"Canada has the world's best AI strategy on paper. We have spent billions on research, talent, and infrastructure. We are ranked #1 globally on Government Strategy. And yet we rank dead last among peer nations on actually commercializing AI. A 90-point gap between our best sub-pillar score and our worst is not a policy failure — it's a market failure. Our policy is excellent. Our market isn't responding to it."

The "Publicly Funded Incubator for the World" Framing

Canada's government investment in AI research generates world-class science. But because enterprises won't buy from domestic startups, the economic ROI — taxes, jobs, IP value — flows south to the US. We are funding the input; someone else captures the output.

The IP statistic is devastating: only 7% of IP from the Pan-Canadian AI Strategy is owned by Canadian private sector firms. The other 93% is owned by universities, foreign corporations who hired Canadian researchers, or no one commercially.

The "Circular Trap" Explainer (for Q&A with chatbot)

"No first customer" → "No revenue track record" → "No Series B" → "No scale" → "Acquisition by US firm or death." This is the mechanical failure that Recommendation 3 breaks. The tax credit inserts a paid first customer into the equation, breaking the trap at its weakest point — the procurement decision.

The "DarwinAI" Proof Case

DarwinAI was a Waterloo-based AI startup that built world-class AI quality inspection tools. Apple acquired it in early 2024. The company's own CEO said it was easier to sell to US and European companies than to Canadian ones. Canada built a globally valuable company — and then watched Apple take it. The Adoption Credit is designed to ensure that next time, a Canadian bank or manufacturer buys the product first, creating the reference case and revenue that lets the company stay Canadian and scale here.

The "Not a Grant, It's a Price Cut" Framing (for skeptics)

Critics might say: "Another government program, more red tape." The answer: this isn't a grant. There's no application. There's no selection committee. There's no bureaucrat deciding who wins. It's a price cut — delivered through the tax code, the same infrastructure that already handles SR&ED. If you buy a qualified Canadian AI product, your CRA bill goes down by 30–40%. That's it. The market decides what gets bought. Government just makes the first trial affordable.

Comparison to Clean Tech Tax Credits

Canada successfully used a similar mechanism in clean technology. The Clean Technology Investment Tax Credit (30% refundable) drove significant private sector adoption of clean tech. Budget 2025 extended this to include more clean tech categories. There's established political precedent and administrative infrastructure for exactly this kind of demand-side credit. AI adoption is the next category that needs it.

PART 6: DATA POINTS BY USE CASE

For Your Slide Bullets (Problem 3)

- 100.00 Government Strategy score vs 10.27 Commercial Ecosystem score — **89.7 point gap**, the widest internal gap of any country in the 13-nation dataset
- **87.8% of Canadian businesses** still not using AI (Stats Canada Q2 2025)
- **66.7% have no plans** to adopt AI in the next 12 months (Stats Canada Q3 2025)

- "Risk-averse" procurement culture named by former CEO of DarwinAI (acquired by Apple) as the primary obstacle to Canadian AI sales
- **7% of IP** from Pan-Canadian AI Strategy owned by Canadian private sector (Globe and Mail 2025)

For Your Slide Bullets (Recommendation 3)

- **30–40% refundable** tax credit on full procurement + integration cost of qualifying Canadian AI startups
- Funded by redirecting the **$200M RDA AI Adoption Fund** from diffuse grants to a self-executing tax credit
- Hard accountability metric: **>50% of subsidized pilots must convert** to commercial contracts within 18 months
- Launch vehicle: **FY2027 federal budget** — can reference Carney government's Budget 2025 "Buy Canadian" policy as the supply chain precedent
- Comparator: Australia's AI Adopt Program subsidizes **50% of AI adoption project costs** for SMEs — Canada would match and surpass this for enterprise-level adoption

For Speaker Notes (spoken, not on slides)

"The problem isn't that Canadians can't build AI. DarwinAI, Cohere, Element AI — we build world-class AI. The problem is that when a Canadian startup walks into a Canadian bank with a working product, the bank says: 'Interesting pilot — come back when someone else has deployed it first.' That's the circular trap. No first customer means no revenue means no scale-up capital means the company gets acquired or dies or leaves. Recommendation 3 breaks that trap by making the first purchase financially rational for the enterprise. We're not picking winners. We're lowering the cost of the first trial so the market can pick winners."

PART 7: VISUALIZATION DATA (Charts for Your Slide)

Chart 1: Sub-Pillar Scores — Canada vs Peers (for Problem 3 slide)

The gap between Government Strategy (100) and Commercial Ecosystem (10.27) is the visual anchor.

All 13-country sub-pillar data is in your model. For a powerful peer comparison, use Canada vs Cluster 3 peers:

Sub-pillar	Canada	UK	Germany	France	Spain
Gov. Strategy	**100.00**	82.82	84.65	91.20	91.28
Operating Env	69.82	60.77	58.79	65.93	57.94
Talent	41.94	35.38	32.08	23.84	28.33
Research	28.82	40.96	36.31	28.08	14.79
Development	15.80	16.15	17.63	13.80	6.68
Commercial	**10.27**	13.90	8.13	6.77	5.08

Canada is solidly average in its peer cluster on most things — except it has the best Government Strategy by far, and a middling (not worst) Commercial Ecosystem. Germany is actually slightly worse on Commercial. This nuance is useful: Canada isn't uniquely bad at commercialization — all Western policy-led economies are bad at it. What's unique is Canada's **exceptional strategy score** making the commercial gap feel like a betrayal of potential.

Chart 2: AI Adoption Rate Trend (for Problem 3 slide)

- Q2 2024: 6.1% of businesses using AI
- Q2 2025: 12.2%
- Q3 2025 planned: 14.5%
- 66.7% have no plans to adopt

This trend line can be shown against a hypothetical "what we need" target line of ~40–50% by 2030 (comparable to leading adopters). The gap between the trajectory and the need is the visual problem.

Chart 3: The Capital Funnel (for either slide or context)

Canadian VC raised: C$2.1B in 2025 (lowest since 2016)
84% of AI VC went to $25M+ rounds — mid-stage ($10–25M) dropped 27%
US comparison: $100–130B in AI VC in 2024 globally, US/China capture 90%

Sources: Your Group 8 AHP Model and Methodology Report; Statistics Canada Canadian Survey on Business Conditions Q2/Q3 2025; Globe and Mail (August 2025); ISED National AI Strategy Consultation Summary (October 2025); ventureLAB Budget Submission (2025); IVADO/CIFAR/CEIMIA AI Startup Report (November 2025); Lexology Canadian AI Capital Report (March 2026); Bennett Jones Canada AI Year in Review (December 2025); Build Canada AI-First Government Report (2025); Conference Board of Canada AI on the Horizon (September 2025); Stanford HAI AI Index 2025; Tortoise Global AI Index 2024; CPA Ontario ISED Submission

(October 2025); BCF Federal Budget 2025 Analysis; Miller Thomson Budget 2025 Analysis; CPA Canada Budget 2025 Analysis; Conference Board of Canada Budget 2025 Innovation Commentary; Australian Government AI Adopt Program; Gartner AI Pilot Research (2024); McKinsey State of AI 2025.